KTU NOTES

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Module 5 (International Trade)

Advantages and disadvantages of international trade - Absolute and Comparative advantage theory - Heckscher-Ohlin theory - Balance of payments – Components – Balance of Payments deficit and devaluation – Trade policy – Free trade versus protection – Tariff and non-tariff barriers.

5.1 International trade

International trade refers to the exchange of capital, goods and services across international borders. Without trade, nations would have to rely only on products produced domestically. Trade plays a dominant role in the economic development of a country by helping it widen its market.

Advantages of International Trade

1. International trade enables countries to specialize in the production of those commodities in which they have a comparative advantage.
2. It increases the size of a firm’s market, resulting in lower average costs and higher productivity.
3. International competition promotes innovative production, new technology and marketing.
4. Consumers benefit in the domestic economy as they can now obtain a greater variety of goods and services.
5. The increased competition ensures commodities are supplied at the lowest prices.
6. It results in foreign exchange gains. When India sells its products abroad, it receives foreign currency. This money is then used to pay for imports that are produced more cheaply overseas.
7. Free trade creates new jobs in the domestic economy. Employment will increase in exporting industries.
8. The countries involved in free trade experience rising living standards, increased real incomes and higher rates of economic growth. This is created by more competitive industries, increased productivity, efficiency and production levels
9. Greater access to imports will benefit consumers and businesses by widening the choice of products available and boosting the living standards of the people.
10. Having a bigger market to sell to means that a business can sell more, earn more profits and pay higher wages. Exporting businesses pay more to workers and sell more per worker than non-exporters.
11. In the absence of trade, governments may distort market prices by subsidizing production. In such cases, production and trade, guided by distorted prices, will not be efficient.
12. One clear cost of protection is that the country imposing it forces its consumers to forgo cheap imports.

Disadvantages of International Trade

1. The main argument for protectionism is the infant industry argument. Industries in developing countries can effectively compete with those already developed if they receive some initial protection in the form of tariffs or subsidies.
2. Increased economic stability as economies do not become dependent on global markets. This means that businesses are not vulnerable to downturns in the economies of their trading partners, e.g. Recession in the USA leads to decreased demand for India's exports, leading to falling export incomes, lower GDP, lower incomes, lower domestic demand, and rising unemployment.
3. Countries with surplus products may dump them on world markets at prices below the cost of production.
4. Countries whose economies are largely agricultural face unfavourable terms of trade. Their export income is much smaller than the import payments they make for high value imports resulting in large foreign debt levels.
5. All round industrial development will occur in the country since it cannot depend on foreign industries.
6. Free trade can lead to pollution and other environmental problems as companies fail to include these costs in the price of goods while trying to compete with companies operating under weaker environmental legislation in some countries.
7. If old traditional industries are not protected, foreign competition may ruin them and create unemployment.
8. It is unwise to export all the natural resources of a country. For example, India has exhausted its large supply of manganese and mica in the name of earning foreign exchange.
9. Protective import duties are a way to generate tax revenue.
10. During times of global financial crises and recession, falling employment has often resulted in an increase in protectionist policies in many countries. Governments in the United States, Britain and other European countries have faced domestic pressure to stop purchases from Chinese and Indian companies.

5.2 Absolute advantage theory of international trade

Assumptions

1. There are no barriers to trade in goods.
2. Labour is the only relevant factor of production.
3. Production exhibits constant returns to scale.
4. There are no transportation costs.
5. Labour is mobile within a country but immobile between countries.

The Theory

The theory of absolute advantage was put forward by Adam Smith. The theory states that the basis of international trade is absolute advantage in the production of a commodity. It was the trade theory that first indicated the importance of specialization and division of labour.

Suppose there are two commodities and two countries which produce these commodities. One country is efficient in the production of one commodity and has an absolute advantage in the production of this commodity. The other country has an absolute advantage in the production of the other commodity. The countries will specialise in the commodity in which they have an absolute advantage. They will export this commodity to the other country. From this trade both the countries will benefit.

The following table gives the man-hours required to produce a unit of wheat and cloth in the US and UK.

Labour cost in hours required to produce one unit of wheat or cloth		
	U.S.	U.K.
Wheat	3	10
Cloth	6	4

It will be seen from the above table that to produce one unit of wheat in the U.S. 3 hours of labour and in U.K. 10 hours are required. To produce one unit of cloth, in the U.S. 6 hours of labour and in U.K. 4 hours are required. Thus the U.S. can produce wheat more efficiently (that is, at a lower cost), while U.K. can produce cloth more efficiently.

U.S. has an absolute advantage in the production of wheat while U.K. has an absolute advantage in the production of cloth. Adam Smith showed that the two countries would benefit and world output will increase if the two countries specialize in the production of goods in which they have absolute advantage and trade with each other.

How such specialization and trade would lead to gain in output and would be mutually beneficial for the two countries is shown in the following table.

Gain in Output when labour is transferred			
	U.S.	U.K.	World Output
Gain in wheat	+2	-1	+1
Gain in cloth	-1	+2.5	+1.5

Suppose to specialize in the production of wheat, the U.S. withdraws 6 man-hours from the production of cloth and devote them to the production of wheat, it will lose 1 unit of cloth and gain 2 units of wheat.

Similarly, to specialize in the production of cloth if U.K. withdraws 10 hours of labour from wheat and use them for the production of cloth, it will lose one unit of wheat but gain 2.5 units of cloth.

The total world output of wheat would increase by 1 unit while that of cloth would increase by 1.5 units. According to Adam Smith, international division of labour and trade leads to the expansion in world output and wealth without any increase in productive resources.

Criticism

1. The theory assumed that each exporting country has an absolute advantage in the production of a commodity. Developing countries may not have any such advantage.
2. There are a large number of factors influencing trade between countries.
3. The theory does not consider that countries are often forced to export to neutralise their balance of payments deficit.

5.3 Comparative advantage theory of international trade

The theory of comparative advantage was put forward by David Ricardo. The theory states that the basis of international trade is comparative advantage in the production of a commodity. He argued that even if the countries did not have an absolute advantage in the production of any product, international trade would be beneficial and would bring gains to all countries.

A country will specialise in that line of production in which it has a greater comparative advantage in costs than other countries and will import those in which it has a comparative cost disadvantage. Each country will benefit if it specializes in the production and export of those goods that it can produce at relatively lower cost.

Assumptions

1. Labour is the only relevant factor of production.
2. Production exhibits constant returns to scale.
3. There are no transportation costs.
4. Labour is mobile within a country but immobile between countries.
5. There is no intervention by government in the economic system.
6. Perfect competition exists both in the commodity and factor markets.
7. There is full employment of resources in both the countries.

This two-country, two-commodity model can be analysed through the Table 2.3

Country	Labour cost per unit of commodity in hours		Exchange ratio	
	Cloth	Wheat	Domestic exchange ratio of Cloth	Domestic exchange ratio of Wheat
England	12	10	1 unit of cloth = 12/10 or 1.20 units of wheat	1 unit of wheat = 10/12 or 0.83 units of cloth
Portugal	16	12	1 unit of cloth = 16/12 or 1.33 units of wheat	1 unit of wheat = 12/16 or 0.75 unit of cloth

The above table indicates that England has an absolute advantage in producing both the commodities through smaller inputs of labour than Portugal. It does not mean that England will specialise in both cloth and wheat and Portugal will have nothing to export. In England, domestic exchange ratio between cloth and wheat is 12:10, i.e., 1 unit of cloth = 12/10 or 1.20 units of wheat. Alternatively, 1 unit of wheat = 10/12 or 0.83 units of cloth. In

Portugal, the domestic exchange ratio is 16:12, i.e., 1 unit of cloth = 16/12 or 1.33 units of wheat. Alternatively, 1 unit of wheat = 16/12 or 0.75 unit of cloth.

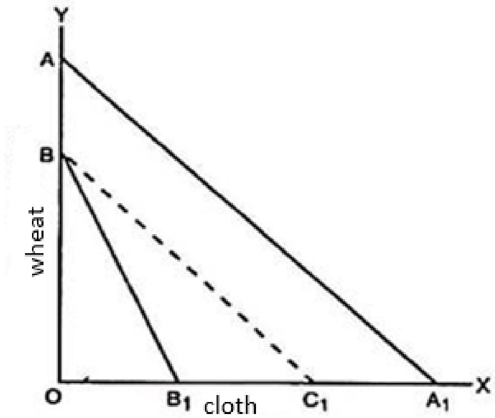
From the above cost ratios, it follows that England has comparative cost advantage in the production of cloth and Portugal has comparatively lesser cost disadvantage in the production of wheat. . Accordingly, England will specialise in the production and export of cloth, while Portugal will specialise in the production and export of wheat.

<u>Diagrammatic representation of the gains from trade</u>

In the following figure, AA_1 and BB_1 are the production possibility curves pertaining to England and Portugal. Using the same amount of productive resources, England can produce larger quantities of both the commodities than Portugal and hence England has absolute cost advantage over Portugal in respect of both the commodities.

If the curve BC_1 is drawn parallel to AA_1, the curve BC_1 can represent the production possibility curve of England. If England gives up OB quantity of wheat and diverts resources to the production of cloth, it can produce OC_1 quantity of cloth, which is more than OB_1. It means that England has comparative cost advantage in the production of cloth.

From the point of view of Portugal, it can produce the same quantity OB of wheat, if it gives up the production of smaller quantity OB_1 of cloth. If signifies that Portugal has less comparative disadvantage in the production of wheat. Accordingly, England will specialise in the production and export of cloth, while Portugal will specialise in the production and export of wheat.



<u>Criticism</u>

1. The theory assumes that there are no other costs except labour costs.
2. The theory assumes constant returns to scale. Diminishing returns are likely to set in as scale increases.
3. The theory ignores differences in transport cost.
4. The assumption that labour is mobile only within the country is not valid.
5. The theory assumes the existence of perfect competition.

6. Actual international trade is influenced by various government restrictions like tariffs and other trade restrictions.
7. The assumption of full employment is not valid.

5.4 <u>Heckscher - Ohlin theory of international trade (Factor endowment theory)</u>

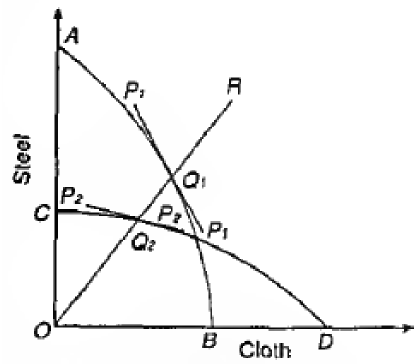
The Heckscher-Ohlin theorem was developed by Eli Heckscher and Bertil Ohlin. The theory states that the capital abundant country will export capital intensive goods and import labour intensive goods and the labour abundant country will export labour intensive goods and import capital intensive goods.

Ohlin pointed out that differences in factor endowments of nations and difference in factor proportions of producing different commodities form the ultimate basis of international trade.

<u>Assumptions</u>

1. There are only two factors of production.
2. It is a two country two commodity model.
3. There is perfect competition.
4. There is full employment.
5. There are no transport costs.

In the figure, the production possibility curve of country A is AB that of country B is CD. Steel is the capital intensive good and cloth is the labour intensive good.



Suppose, the two countries produced the goods in the same proportion along the ray OR. Country A would produce at Q_1 and country B at Q_2 on their respective production possibility curves. The slope of country A's production-possibility curve at Q_1, is steeper than the corresponding slope of country B at Q_2. This implies that steel is cheaper in country A and cloth is cheaper in country B, if the two countries are producing at Q1 and Q2 respectively. Country A would, therefore, tend to expand production of steel and country B would do so for cloth. This means that country A, a capital abundant country, has a production bias in favour of the capital-intensive good, steel, while the labour-abundant country, country B, has a bias in favour of producing the labour intensive good, cloth.

Merits

1. The H-O theory takes into account both the demand and supply factors for determining international trade.
2. This model lays down a permanent basis for international trade.
3. The theory maintains that production involves two factors of production-labour and capital.
4. The theory is based upon the general theory of value.
5. This theory explains the reason for comparative cost differences between nations in terms of factor endowments.

Criticism

1. It is a two commodity model.
2. The theory assumes perfect competition.
3. The theory assumes that there is full employment.
4. The theory ignores differences in transport cost.
5. The theory ignores technological changes.

5.5 Balance of payments

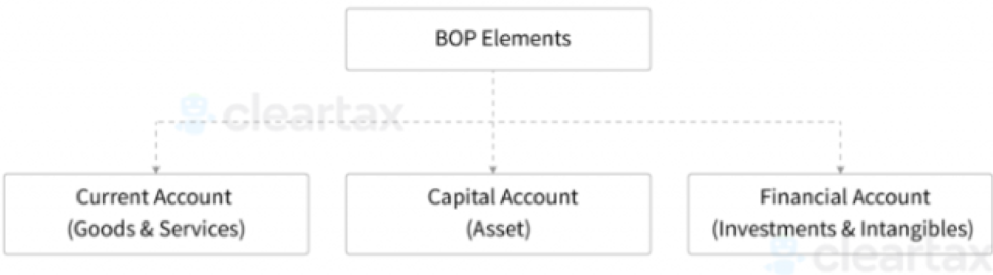
Balance of payments (BOP) sheet is an accounting record of all monetary transactions between a country and the rest of the world. These transactions include payments for the country's exports and imports of goods, services, financial capital and financial transfers. The BOP summarizes the international transactions for a specific period, usually a year. Sources of funds for a nation, such as exports or the receipts of loans and investments, are recorded as positive or surplus items. Uses of funds, such as for imports or investment in foreign countries are recorded as negative or deficit items.

Importance of balance of payments

1. The BOP statement of a country is an indicator of its economic status in the world.
2. It helps the government formulate its trade policies.

Components of BOP

The BOP is divided into three main components or elements: the current account, the capital account, and the financial account.



1. The Current Account

It is used to monitor the inflow and outflow of goods and services in a country. It is called current since it refers to transactions currently occurring - those that do not give rise to future claims. The trade position of the country is reflected by the current account. A current account is in balance when the country has enough resources to fund all of its foreign purchases. India has a current account deficit.

The current account consists of:

a. Merchandise trade. This is referred to as visible trade. This is the trade in manufactured goods and raw materials.

b. Services. This is referred to as invisible trade. It is the sale of services like travel and tourism, insurance, engineering, patents and copyrights etc.

c. Income receipts. This includes income derived from ownership of assets abroad such as dividends from shares and interest from bonds.

d. Unilateral transfers. These include worker remittances from abroad, foreign aid, contribution to charitable institutions and gifts from one country to another.

When combined, goods and services together make up a country's balance of trade (BOT). The BOT forms the biggest bulk of a country's balance of payments as it makes up total imports and exports. If a country has a balance of trade deficit, it imports more than it exports, and if it has a balance of trade surplus, it exports more than it imports.

2. <u>The Capital Account</u>

The capital account refers to the net change in ownership of foreign assets. It is where all international capital transfers are recorded. This refers to the acquisition or disposal of international assets. If a country purchases more foreign assets than it sells then the capital account is said to be in deficit.

The capital account is divided into:

a. Capital transfers.

b. Purchase and sale of real assets.

3. <u>The Financial Account</u>

In the financial account, international monetary flows related to investment in business, real estate, bonds, and stocks are documented. Also included are government-owned assets such as foreign reserves, gold, special drawing rights held with the International Monetary Fund, private assets held abroad, and direct foreign investment. Assets owned by foreigners are also recorded in the financial account.

Apart from the above three major components, bop also includes:

4. <u>Official reserve account.</u>

It refers to the foreign currency held by the central bank of a country and is used to balance the payments from year to year.

5. <u>Errors and Omissions</u>

Sometimes the balance of payments does not balance. It is due to errors that have crept in during the compilation of the bop statement. Hence an entry called errors and omissions is made to reflect this imperfection.

5.6 Balance of Payments deficit

The international BOP of a country reflects its economic strengths and weaknesses. Surpluses or deficits in the bop can lead to imbalances between countries. In general there is concern over deficits in the current account. Countries with deficits in their current accounts will build up increasing debt or see increasing foreign ownership of their assets.

Reasons for disequilibrium in balance of payments

1. Economic Factors
    a) The BOP will have deficits if the level of imports in a country is high.
    b) Lack of adequate international capital inflow into a country.
    c) External borrowings and loans from foreign countries.
    d) Rising petroleum prices have put a strain on the forex reserves of several countries.
    e) The quality of products of developing countries are not up to the world standards due to which they could not sustain foreign markets.

2. Political Factors
    a) Political instability in a country creates uncertainty among foreign investors which leads to a reduced inflow of foreign capital into the country.
    b) Disequilibrium in BOP also occurs in the event of fear of war with some other country.

3. Structural Factors
    a) The high degree of protection given to domestic industries leads to inefficiency and poor quality products. Hence exports suffer.
    b) In the case of India, the instability in the exchange value of the rupee was another problem. This has created problems for both exporters and importers. Even though the value of rupee was managed by the central bank, it was not able to maintain stability since the currency was often affected by factors beyond the control of the RBI.
4. Social Factors
    a) Countries like India export mainly agriculture and agro based products. The price of these have fluctuated heavily in the world markets.
    b) Indian agricultural exports were constantly affected by crop failures.
5. Technological Factors
    a) The lack of thrust in research and development has created a situation where countries like India have very few products that foreigners find attractive.
    b) Excessive stress on technology intensive export-oriented industries by countries like China has resulted in bop disequilibrium in countries like India.

5.7 Methods to correct disequilibrium in the BOP

1. Monetary Measures
    a) Monetary Policy. Monetary policy is the policy concerned with the supply of money in the economy. A reduction in the money supply will decrease the purchasing power

of the people. Demand will decline and prices will come down. This reduces imports and encourages exports.

b) Devaluation. It is the lowering of the exchange value of the currency of a country. When a country devalues its currency, exports becomes cheaper and imports become expensive which causes a reduction in the BOP deficit.

c) Exchange Control. In exchange control, all exporters are directed by the monetary authority to surrender their foreign exchange earnings, and the total available foreign exchange is rationed among the licensed importers.

2. Trade policy measures

a) Export Promotion. The country tries to increase exports by adopting various measures like reducing export duties, providing incentives to exporters, providing subsidies to exporters and exempting exports from taxes.

b) Import Substitution. Steps may be taken to encourage the production of goods which are currently being imported. This will save valuable foreign exchange.

c) Import Control. Imports and foreign travel is strictly monitored since they take away valuable foreign exchange. All foreign exchange earned has to be surrendered to RBI which then rations it out.

3. Non- Monetary measures

a) Promoting international travel and tourism.
b) Inviting foreign companies to come and invest in the country.
c) Taking extra efforts to ensure that Indians working abroad deposit their savings in banks in India.
d) Postponing debt repayments.
e) Keeping inflation under control.
f) Check on smuggling

5.8 Devaluation

It is the lowering of the exchange value of the currency of a country. When a country devalues its currency, exports becomes cheaper and imports become expensive which causes a reduction in the BOP deficit.

As a result of reduction in the exchange rate of a currency with respect to foreign currencies, the prices of goods to be exported fall, whereas prices of imports go up. This encourages exports and discourages imports. With exports so stimulated and imports discouraged, the deficit in the balance of payments will tend to be reduced.

Objectives of Devaluation

1. To boost exports. Imports become more expensive and exports become more competitive and lucrative.
2. To encourage a greater quantity of export from the country whose currency is being devalued.

3. To reduce trade deficits. The increase in exports along with a reduction in imports will cause a positive impact on the balance of trade.
4. To lower the cost of a country's external debt.

<u>Condition for devaluation</u>

Devaluation will be effective only if the demand for exports is elastic. The value of price elasticity should be greater than 1. In the following figure, the demand curve is elastic. Even a small percentage change in the price of exports will result in a large percentage change in quantity. The loss in revenue due to a decline in price is more than compensated by the gain in revenue due to the increase in quantity purchased. Hence devaluation is recommended.

In the figure given below, the demand curve is inelastic. A large percentage change in the price of exports will result in a small percentage change in quantity. The loss in revenue due to a decline in price is more than the gain in revenue due to the increase in quantity purchased.

Limitations of devaluation

1. Devaluation may cause inflation. Higher exports due to the devaluation in the currency will increase the level of income of the consumers causing domestic demand to rise, which raises prices.
2. It can result in an increase in the production cost of commodities that depend on inputs that are imported.
3. Domestic companies that have taken international loans will face greater servicing costs.
4. It will foster uncertainty within the global markets.
5. Devaluation may also spark trade wars. It will create tension with other competing countries.

5.9 Free trade versus protection

Free trade

Free trade occurs when there are no artificial barriers put in place by governments to restrict the flow of goods and services between trading nations. When trade barriers, such as tariffs and subsidies are put in place, they protect domestic producers from international competition and redirect, rather than create trade flows.

Free trade is supported as the policy, which is most conducive to maximizing the economic welfare of a given society. It is argued that free trade allows different economies to make use of comparative advantages by the exchange of commodities. After the signing of the General Agreement on Tariffs and Trade, per capita growth was at an all-time high while tariffs were at a historically low level. People within a national economy will all be better off if they specialize at what they do best instead of trying to be self-sufficient.

Advantages of free trade

1. International trade enables countries to specialize in the production of those commodities in which they have a comparative advantage.
2. It increases the size of a firm's market, resulting in lower average costs and higher productivity.
3. International competition promotes innovative production, new technology and marketing.
4. Consumers benefit in the domestic economy as they can now obtain a greater variety of goods and services.
5. The increased competition ensures commodities are supplied at the lowest prices.
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10. Having a bigger market to sell to means that a business can sell more, earn more profits and pay higher wages. Exporting businesses pay more to workers and sell more per worker than non-exporters.
11. In the absence of trade, governments may distort market prices by subsidizing production. In such cases, production and trade, guided by distorted prices, will not be efficient.
12. One clear cost of protection is that the country imposing it forces its consumers to forgo cheap imports.

Protectionism

It is the policy of protecting domestic industries by imposing high customs duties on foreign products. Economic theory does not rule out protectionism as a welfare maximizing policy option. Whether or not a particular economy warrants protection depends on whether it will maximize the economic welfare of its populace. Historically, most economies developed while significant tariffs were in place and high tariffs tended to coincide with relatively high rates of per capita GDP growth.

Advantages of protectionism

1. The main argument for protectionism is the infant industry argument. Industries in developing countries can effectively compete with those already developed if they receive some initial protection in the form of tariffs or subsidies.
2. Increased economic stability as economies do not become dependent on global markets. This means that businesses are not vulnerable to downturns in the

economies of their trading partners, e.g. Recession in the USA leads to decreased demand for India's exports, leading to falling export incomes, lower GDP, lower incomes, lower domestic demand, and rising unemployment.

3. Countries with surplus products may dump them on world markets at prices below the cost of production.
4. Countries whose economies are largely agricultural face unfavourable terms of trade. Their export income is much smaller than the import payments they make for high value imports resulting in large foreign debt levels.
5. All round industrial development will occur in the country since it cannot depend on foreign industries.
6. Free trade can lead to pollution and other environmental problems as companies fail to include these costs in the price of goods while trying to compete with companies operating under weaker environmental legislation in some countries.
7. If old traditional industries are not protected, foreign competition may ruin them and create unemployment.
8. It is unwise to export all the natural resources of a country. For example, India has exhausted its large supply of manganese and mica in the name of earning foreign exchange.
9. Protective import duties are a way to generate tax revenue.
10. During times of global financial crises and recession, falling employment has often resulted in an increase in protectionist policies in many countries. Governments in the United States, Britain and other European countries have faced domestic pressure to stop purchases from Chinese and Indian companies.

5.10 Trade policy

Trade policy refers to the regulations and policies that state how a country carries out international trade with other foreign countries. It is also referred to as commercial policy. It consists of tariffs on imported goods, quotas, export constraints and restrictions on the domestic operations of foreign companies. Subsidies may also be provided to domestic industries to enable them to compete with foreign industries.

A major component of trade policy are trade barriers consisting of tariffs and non-tariff barriers.

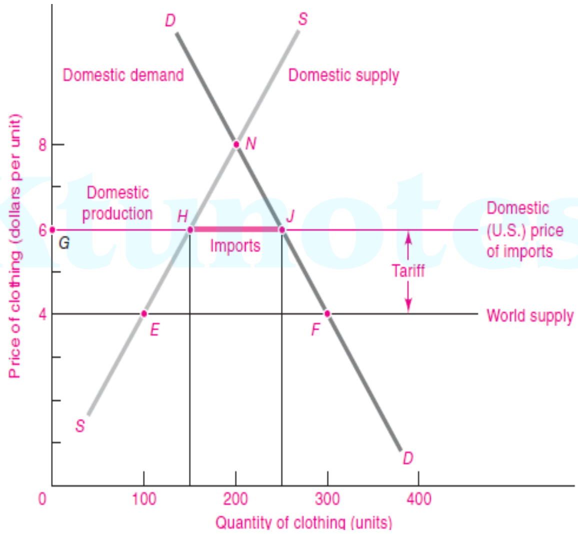
Tariff

A tariff is a tax imposed by one country on the goods and services imported from another country. Tariffs are used to restrict imports. They increase the price of goods purchased from another country, making them less attractive to domestic consumers. They are used to (a) discourage domestic consumers from consuming foreign goods and (b) encourage consumption and production of the domestically produced import-replacement substitutes.

The effect of a tariff is explained with the help of an example from the American market. The domestic demand curve of American consumers is drawn as DD and the domestic supply curve of American firms as SS. In a situation where there is no international trade, price would be high at $8 per unit and domestic producers would be meeting all the demand.

The world price of cloth is equal to $4 per unit. If international free trade occurs, the price in America would equal the world price level. The horizontal line at $4 represents the supply curve for imports, it is horizontal or perfectly price-elastic because American demand is assumed to be too small to affect the world price of cloth. Once trade opens up, imports flow into America lowering the price of clothing to the world price of $4 per unit. Domestic producers will supply 100 units while at that price consumers will want to buy 300 units. The difference, shown by the line EF, is the amount of clothing imports.

Suppose America imposes a tariff of $2. The price per unit is now $6. Domestic consumption is now lowered from 300 units in the free-trade equilibrium to 250 units. Domestic production is raised by 50 units, and the quantity of imports is lowered by 100 units. A tariff will tend to raise price, lower the amount imported and raise domestic production of the good.



<u>Types of Tariffs</u>

There are several types of tariffs and barriers that a government can employ:

1. Specific tariffs. It is a fixed amount of tariff imposed on one unit of an imported or exported good.
2. Ad valorem tariffs. It is levied on a good based on a percentage of that good's value.
3. Countervailing tariffs. These are levied on imported commodities which are heavily subsidised by foreign governments.
4. Anti-dumping tariffs. These are imposed on imported goods sold in the country at a price lower than its cost of production.

<u>Advantages of Tariffs</u>

1. Tariffs are a source of revenue for governments.

2. Infant industry argument. Industries in developing countries can effectively compete with those already developed if they receive some initial protection in the form of tariffs.
3. By making foreign-produced goods more expensive, tariffs can make domestically produced alternatives seem more attractive.
4. Governments often use tariffs to benefit particular domestic industries.
5. Tariffs are used to protect companies and jobs.
6. Tariffs can also be used as an extension of foreign policy as their imposition on a trading partner's main exports may be used to exert economic leverage.

Disadvantages of Tariffs

1. They create trade distortions.
2. It can hurt domestic consumers since a lack of competition tends to push up prices.
3. They can make domestic industries less efficient and less innovative by reducing competition.
4. Tariffs lead to a fall in the volume of international trade.
5. They can generate tensions by favouring certain industries over others.
6. An attempt to pressure a rival country by using tariffs can devolve into an unproductive cycle of retaliation, commonly known as a trade war.

Non-tariff barriers (NTBs)

A non-tariff barrier is a way to restrict trade using trade barriers in a form other than a tariff. While tariffs constitute visible barriers to trade, the non-tariff barriers, constitute the hidden or invisible barriers to trade. In more recent years, these non-tariff barriers have come into greater prominence than the conventional tariff barriers. These include direct restrictions or quotas, monetary restrictions, technical and administrative regulations. Their effect on trade is the same as tariffs - trade restriction and trade distortion causing misallocation of world resources and reducing global welfare.

Types of Non-Tariff Barriers

There are several types of NTB's that a government can employ:

1. Quotas. Quantitative restrictions, or quotas, are imposed with a view to reduce the quantity of imports or exports to a limited size. The effect of quotas are more severe than those which are created by tariffs since they physically limit the number of a product that a country imports. Import quotas are more common than export quotas. The world has witnessed severe import quotas of the mandatory type by the importing countries.

2. Voluntary export restraints. In this case the exporting countries are asked to put voluntary restraints on their exports.

3. Licenses. Countries may use licenses to limit imported goods to specific businesses. If a business is granted a trade license, it is permitted to import goods that would otherwise be restricted for trade in the country.

4. Monetary restrictions. A country can impose foreign exchange controls to limit the volume of imports. The importer needs foreign exchange to import foreign goods, and the

government of the country can deny the use of foreign exchange for certain types of imports or for imports from certain counties. Exchange controls are quite widespread particularly in the poor countries which experience severe shortage of foreign exchange.

5. Administrative regulations. They include custom restrictions on banning certain products either on the ground that they constitute a health hazard or they do not meet the safety and health regulations in the country. For instance, imports of food stuffs or fruits or toys are restricted on the ground that they constitute a potential health hazard endangering the safety of people in the country.

6. Technical regulations. They include regulations with regard to labelling and packaging.

7. Customs procedures. Very often, there is administrative delay, lengthy procedures and red tape in customs clearing aimed at frustrating that the potential importer.

8. Government procurement policies. These policies involve giving preferences to domestic producers for government procurement.

9. Embargoes. Here countries officially ban the trade of specified goods and services with another country. Governments may take this measure to support their specific political or economic goals.

10. Sanctions. Countries impose sanctions on other countries to limit their trade activity. Sanctions can include increased administrative actions or additional customs and trade procedures that slow or limit a country's ability to trade.

11. Local content requirements**.** The government requires export products to contain a certain percentage of local raw materials. When increasing local content requirements, the demand for domestic raw materials increases. That will spur business activities, creating more jobs and incomes at home.

Advantage of NTBs

1. NTBs support domestic industrial development. It provides sufficient room for domestic industries to grow, achieve economies of scale, and be competitive in the international market.
2. NTBs support strategic industrial development. The decline in imports will divert demand for domestic products.
3. To increase production, domestic companies invest in capital goods and recruit more local workers. Thus more jobs are created.
4. They create more income and growth in the domestic economy.
5. They are more effective in limiting import volumes. Under quotas, for example, the main target is the quantity of imports. When the government tries to reduce imports, quotas are more effective than tariffs because they directly impact import volumes.

Disadvantages of NTBs

1. Governments cannot generate extra income. Under tariff, the government imposes a tax on imported goods which will increase revenue.
2. They limit the functioning of the free market. Countries should specialize and trade in products in which they have a comparative advantage. That way, free trade results in maximum benefits globally.

3. The cost of running a business increases. Companies have to fulfil several administrative requirements such as product standardization.
4. Companies have to follow complicated customs procedures.
5. Exporters face unfair competition in partner countries. Non-tariff barriers are beneficial for domestic companies but put foreign companies at a disadvantage.
6. Exporters would be able to sell only fewer goods under the quota policy. When exposed to quota restrictions, they have to find other markets to sell their products. If not, they have to cut production, lowering their income and profits.
7. When the government limits quotas, the market supply decreases. If domestic companies cannot compensate by increasing production, then scarcity will occur and prices will rise.
8. Competitiveness weakens in the long term. Competition is essential for promoting efficiency, and productivity.
9. Domestic companies have no incentive to spur innovation and introduce new technology products. The negative effect is a limited selection of goods, low-quality goods, and high prices.
10. Non-tariff barriers can lead to trade wars. Partner countries can pursue similar policies to protect their industries resulting in trade retaliation that would upset the balance of the global economy.